UNIT - III

Organizational Culture, Climate, Leadership and Conflict

1. Introduction to Organizational Culture

- Every organisation has its own **personality** — the way things are done "around here". This is its **culture** .
- Culture influences how employees think, behave, dress, communicate, take decisions and treat customers.
- It acts as the **social glue** that holds the organisation together.
- Culture is learned by employees through stories, rituals, symbols, language, and the behaviour of leaders.

2. Meaning and Definitions

- **Meaning:** Organisational culture is a system of shared values, beliefs, assumptions and norms that guide the behaviour of the members of an organisation and distinguish it from other organisations.

Definitions

Robbins: "Organisational culture refers to a system of shared meaning held by members that distinguishes the organisation from other organisations."

Edgar Schein: "A pattern of basic assumptions — invented, discovered or developed by a given group as it learns to cope with its problems of external adaptation and internal integration — that has worked well enough to be considered valid and is taught to new members as the correct way to perceive, think and feel."

Hofstede: "The collective programming of the mind that distinguishes the members of one group from another."

Pettigrew: "Culture is the system of publicly and collectively accepted meanings operating for a given group at a given time."

3. Nature / Characteristics of Organisational Culture

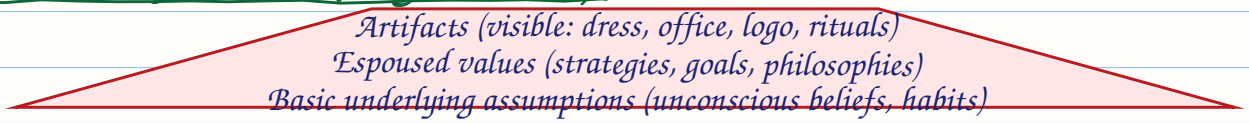
- **Shared** — held by most members, not by one person.
- **Learned** — acquired through socialisation, not inherited.
- **Passed on** from one generation of employees to another.
- **Symbolic** — expressed through symbols, slogans, logos, dress, language.
- **Relatively stable and enduring** , but changes slowly.

- **Holistic and inter-related** — affects all functions.
- **Distinctive** — differentiates one organisation from another (e.g., Tata vs Infosys).
- **Integrates** members — gives identity and sense of belonging.
- **Guides behaviour** — acts as an unwritten rule book.
- Can be **strong or weak** depending on the intensity of sharing.

4. Scope of Organisational Culture

Area	Influence of culture
Decision-making	style: centralised or participative, risk-taking or cautious
Leadership & management style	autocratic, democratic, supportive
Communication	open or restricted, formal or informal
HR practices	recruitment, training, rewards, promotion
Motivation and morale	values and recognition systems
Change and innovation	openness to new ideas
Customer service and quality	commitment to ethics, quality, service
Employee relations	trust, cooperation, teamwork, conflict handling
Organisational performance	productivity, retention, reputation

5. Levels of Culture (Edgar Schein)



- **Artifacts** — what you see and hear; the physical layout, dress code, stories, ceremonies.
- **Espoused values** — stated values and rules (mission statement).
- **Basic assumptions** — deep, taken-for-granted beliefs; hardest to change.

6. Dimensions / Characteristics of Culture (Robbins)

Ten characteristics that together capture the essence of the culture:

1. **Member identity** — identify with the organisation as a whole.
2. **Group emphasis** — work organised around teams not individuals.
3. **People focus** — management considers effect on people.
4. **Unit integration** — units operate in a coordinated way.
5. **Control** — rules, supervision used to control behaviour.
6. **Risk tolerance** — encouraged to be aggressive, innovative, take risks.
7. **Reward criteria** — pay by performance rather than seniority.

8. **Conflict tolerance** — open criticism encouraged.
9. **Means–ends orientation** — focus on outcomes rather than techniques.
10. **Open-systems focus** — monitors the external environment.

7. Types of Culture

Type (Handy / Deal-Kennedy)	Features
Power culture	control from the centre; fast decisions; found in small, family-owned firms
Role culture	rules, procedures, job descriptions; stable; bureaucracies, government offices
Task culture	team-based, project-oriented; expert power; consulting firms
Person culture	individuals are more important than the organisation; professionals, universities

Type (Cameron & Quinn)	Features
Clan culture	family-like, loyalty, mentoring, teamwork
Adhocracy culture	creative, entrepreneurial, risk-taking (start-ups)
Market culture	result-oriented, competitive, achievement focus
Hierarchy culture	formal, structured, efficiency and control

- Other classification: **strong vs weak culture** , **dominant culture vs sub-culture** , **ethical culture** , **innovative culture** .

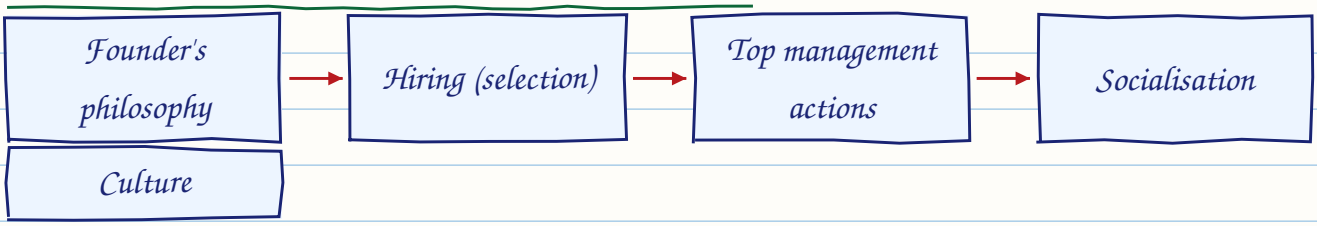
8. Functions of Organisational Culture

- Gives members an **identity** .
- Generates **commitment** to something larger than self-interest.
- Enhances **social system stability** — acts as social glue.
- Serves as a **sense-making and control** mechanism that guides behaviour.
- Reduces ambiguity and supports co-ordination.
- Creates a **competitive advantage** and a good brand image.

Dysfunctions (negative sides)

- Barrier to change; barrier to diversity; barrier to mergers and acquisitions (culture clash).

9. How Culture is Created and Sustained



- **Founders** set the vision and values.
- **Selection** — choose people who fit the culture.
- **Top management** — their behaviour sets norms.
- **Socialisation** — orientation, training and mentoring: pre-arrival → encounter → metamorphosis stage.
- **Tools to convey culture:** stories, rituals, material symbols, language.

10. Organizational Climate

Meaning: Organisational climate is the **perceived quality of the internal work environment** as experienced by employees — the "feel" or "atmosphere" of the organisation at a given time.

Definition

"Organisational climate is a set of measurable properties of the work environment, based on the collective perceptions of the people who live and work in the environment and demonstrated to influence their behaviour." — Litwin & Stringer

Characteristics

- Perception-based and a short-term; more changeable than culture.
- Affects motivation, morale and performance.
- Result of leadership, policies, structure and people practices.

Dimensions of climate (Litwin & Stringer)

Structure, responsibility, reward, risk, warmth, support, standards, conflict, identity.

Types of climate

- Open vs closed climate; authoritarian vs participative; supportive vs defensive; innovative; high-trust vs low-trust.

Factors affecting climate

- Leadership style, organisational structure, communication, reward system, employee participation, working conditions, job design, relationship among peers.

Culture vs Climate

Basis	Culture	Climate
Meaning	shared values and beliefs	perception of work environment
Nature	deep, stable, long-term	surface level, short-term

Basis	Culture	Climate
Basis	history, assumptions	current practices and attitudes
Change	slow, difficult	easier and faster
Measured by	observation, qualitative study	surveys, questionnaires
Origin	anthropology	psychology

11. Leadership — Meaning and Nature

- **Leadership** is the process of influencing and inspiring a group of people to willingly work towards the achievement of goals.

Definitions

Koontz & O'Donnell: "Leadership is the art or process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals."

Robbins: "Leadership is the ability to influence a group toward the achievement of a vision or set of goals."

George R. Terry: "Leadership is the activity of influencing people to strive willingly for group objectives."

Nature

- Interpersonal influence; goal-oriented; involves followers; situational; a continuous process; shared power and responsibility.

Leader vs Manager

Basis	Leader	Manager
Source of power	personal influence, charisma	formal authority, position
Focus	vision, change, people	planning, control, tasks
Orientation	does the right thing	does things right
Approach	inspires and innovates	administers and maintains
Followers	followers follow willingly	subordinates obey rules
Risk	takes risks	avoids risk

Functions of a leader

- Setting vision and direction; motivating; building teams; communicating; resolving conflict; representing the group; guiding change; developing future leaders.

12. Traits Theory of Leadership

- Also called the **Great Man theory** : "Leaders are born, not made." Oldest approach (1930s–1940s).
- **Idea:** Effective leaders possess certain **personal traits** — physical, personality and ability characteristics — that distinguish them from non-leaders.

Commonly identified traits

Physical height, energy, appearance, health, stamina	**Intellectual** intelligence, knowledge, judgement, decisiveness, fluency
Personality self-confidence, honesty, integrity, emotional stability, adaptability	**Social** sociability, cooperation, tact, popularity, diplomacy
Work-related achievement drive, initiative, persistence, responsibility	**Drive** ambition, motivation, desire to lead

- **Stogdill and Ghiselli** identified traits like intelligence, supervisory ability, initiative, self-assurance and occupational level.
- Modern research (Kirkpatrick & Locke): **drive, desire to lead, honesty and integrity, self-confidence, cognitive ability and knowledge of business** .

Criticisms

- No universal list; traits are not equally important in every situation.
- Ignores followers, situation and the learning of skills.
- Hard to measure traits; cause and effect unclear.
- Leaders can be developed through training — so "born" notion is weak.

→ Traits theory is the basis for selection of leaders but must be combined with the situational approach.

Other approaches (brief)

- **Behavioural theories** — focus on what leaders do: Ohio State (initiating structure and consideration), Michigan (employee- and production-centred), Managerial Grid.
- **Contingency theories** — Fiedler, Hersey–Blanchard situational leadership, House's path–goal.
- **Lewin's styles:** autocratic, democratic, laissez-faire.

13. Managerial Grid (Blake and Mouton)

- Developed by **Robert Blake and Jane Mouton** (1964) — a behavioural leadership model.
- Two dimensions plotted on a 9 × 9 grid (81 positions):
- **Concern for people** (vertical axis) and **Concern for production / results** (horizontal axis). Scores from 1 (low) to 9 (high).

Style	Grid position	Features
Impoverished (Indifferent)	1,1	minimal effort for both people and production; avoids responsibility; "laissez-faire"
Authority-Compliance (Produce or perish)	9,1	high concern for production, low for people; task focus; autocratic
Country Club	1,9	high concern for people, low for production; friendly atmosphere; may reduce results
Middle of the Road (Organisation man)	5,5	balance, compromise; moderate output and morale
Team Management	9,9	high on both; commitment, trust, interdependence; **the ideal style**

- Additional styles: **Paternalistic** (9+9 — reward and punish), **Opportunistic** (uses any style that benefits self).

Features and evaluation

- Simple way to assess leadership style; used for **managerial training and development** (Grid OD).
- Criticism: ignores situational factors; "one best style" assumption; difficult to prove that 9,9 is always the best.

→ Draw a neat 9×9 grid diagram in the exam, mark the five corner points (1,1), (1,9), (9,1), (9,9), (5,5) with their names.

14. Transactional vs Transformational Leadership

Transactional Leadership (James MacGregor Burns, Bernard Bass)

- Leader motivates through **exchange** — rewards for performance and punishment for failure ("transaction").
- Focus on **short-term goals, rules, procedures and structure** .
- Dimensions: **contingent reward** , **management by exception** (active and passive).
- Works well in stable situations; ensures routine tasks get done.

Transformational Leadership

- Leader **inspires and transforms** followers to go beyond self-interest for the sake of the organisation.

- Focus on **vision, change, innovation and long-term growth** .
- The four I's (Bass):

Idealised influence a role model who is trusted and admired (charisma)	**Inspirational motivation** communicates a vision that excites followers
Intellectual stimulation encourages creativity, questioning old ways	**Individualised consideration** coaches, mentors, treats each follower as an individual

Basis	Transactional	Transformational
Nature	exchange relationship	inspirational relationship
Focus	maintaining status quo	changing the status quo
Motivation	external rewards / punishment	intrinsic, higher-order needs
Time orientation	short-term	long-term vision
Followers	comply for reward	committed, empowered
Style	management by exception, rules	charisma, vision, innovation
Best in	stable, structured settings	change, crisis, innovation
Example	supervisor with sales-target bonus	Ratan Tata, A.P.J. Abdul Kalam, Steve Jobs

- Transformational builds on transactional — **augmentation effect** : the best leaders use both.

15. Qualities of a Good Leader

Vision clear goals and long-term direction	**Integrity** honest, ethical, trustworthy
Communication clear, listens well, persuasive	**Decision-making** quick, rational, takes responsibility
Self-confidence belief in own ability, courage	**Emotional intelligence** self-awareness, empathy, social skills
Motivating ability inspires and rewards followers	**Adaptability** flexible, open to change and learning

- **Other qualities:** intelligence and knowledge; initiative and creativity; fairness and impartiality; discipline and willingness to delegate; team-building skills; sense of humour; physical and mental energy; accountability; technical competence; social skills; humility; commitment;

positive attitude.

- **Goleman's five EQ components:** self-awareness, self-regulation, motivation, empathy, social skills.

> **Remember**
> A good leader = Vision + Values + Communication + Courage + Care for people + Competence.

16. Conflict Management

Meaning of conflict: a disagreement or clash between individuals or groups due to incompatible goals, values, interests or perceptions.

> **Definition**
> "Conflict is a process that begins when one party perceives that another party has negatively affected, or is about to negatively affect, something that the first party cares about." — Robbins

Views of conflict

- **Traditional:** conflict is harmful and must be avoided.
- **Human relations:** conflict is natural and inevitable.
- **Interactionist:** conflict can be **useful** — a certain level keeps the group creative and alert.
- **Functional (constructive) conflict** improves performance; **dysfunctional (destructive) conflict** hinders it.

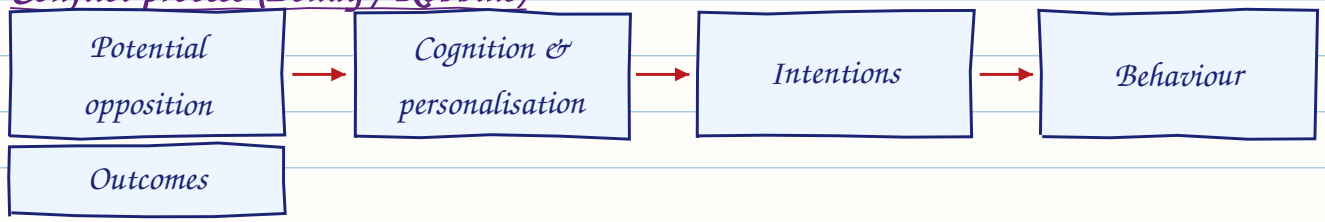
Types of conflict

- **Intra-personal** (within a person: role conflict), **inter-personal** , **intra-group** , **inter-group** , **inter-organisational** .
- By content: **task** conflict, **relationship** conflict, **process** conflict.

Causes

- Limited resources; differences in goals and values; interdependence; communication problems; role ambiguity; personality clash; unfair treatment; change; competition; status differences.

Conflict process (Pondy / Robbins)



Conflict handling styles (Thomas–Kilmann)

Style	Assertiveness / Cooperation	When to use
Competing (forcing)	high / low	emergencies; unpopular but vital decisions

Style	Assertiveness / Cooperation	When to use
Collaborating (problem-solving)	high / high	important issues; win–win; learning
Compromising	medium / medium	equal power; time pressure; temporary solution
Avoiding (withdrawal)	low / low	trivial issues; to cool down; need more information
Accommodating (smoothing)	low / high	maintain harmony; issue matters more to the other party

Conflict management techniques

- **Resolution:** problem solving, superordinate goals, expansion of resources, compromise, authoritative command, altering human variables (training), altering structure (job rotation, new coordination).
- **Stimulation (when too little):** bring in outsiders, restructure, encourage competition, appoint a devil's advocate.
- Use of **negotiation, mediation, arbitration, conciliation** .
- Building trust, open communication, clear roles, fair policies, team building.

16A. Leadership Styles

Lewin's three classical styles

Style	Features	Effect
Autocratic	leader takes all decisions; one-way communication; close control	quick decisions; low morale, dependence, resentment
Democratic (participative)	group takes part in decisions; two-way communication	high morale, creativity, commitment; slower decisions
Laissez-faire (free-rein)	leader gives total freedom; minimal guidance	good with skilled self-driven staff; otherwise confusion

Other styles

- **Paternalistic:** leader acts like a father — cares but controls.
- **Charismatic:** personal magnetism inspires followers.
- **Bureaucratic:** follows rules strictly.
- **Servant leadership:** puts followers' needs first.
- **Situational / contingency styles:** chosen as per the situation.

16B. Behavioural and Contingency Theories (short notes)

Ohio State studies

- Two dimensions: **Initiating structure** (task orientation, defining roles) and **Consideration** (concern for people, trust, respect).
- High-high leaders usually achieve high performance and satisfaction.

Michigan studies

- **Employee-oriented** leaders (focus on relationships) vs **production-oriented** leaders (focus on tasks). Employee-oriented were more effective.

Fiedler's Contingency Model

- Leader effectiveness depends on the match between **leader's style** and the **favourableness of the situation** .
- Style is measured by the **LPC (Least Preferred Co-worker)** scale: high LPC = relationship-oriented; low LPC = task-oriented.
- Situation depends on: leader–member relations, task structure, position power.
- Task-oriented leaders do best in very favourable and very unfavourable situations; relationship-oriented in moderately favourable ones.

Hersey–Blanchard Situational Leadership

- Style should match the **maturity (readiness) of followers** .

Follower readiness	Style	Behaviour
Low (unable, unwilling)	Telling (S1)	high task, low relationship
Moderate (unable, willing)	Selling (S2)	high task, high relationship
Moderate (able, unwilling)	Participating (S3)	low task, high relationship
High (able, willing)	Delegating (S4)	low task, low relationship

House's Path–Goal Theory

- The leader's job is to clear the **path** to the **goals** for subordinates, and increase rewards. Four styles: directive, supportive, participative, achievement-oriented.

16C. Power and Authority of the Leader (French & Raven)

- **Legitimate** power (position), **Reward** power, **Coercive** power, **Expert** power (knowledge), **Referent** power (admiration, charisma).
- Expert and referent are personal powers and bring greater commitment.

16D. Strengthening and Changing Organisational Culture (preview)

- Strong culture = core values intensely held and widely shared → high commitment and low turnover.

Ways to build a healthy culture

- Clear mission, vision and values; leaders as role models.
- Hire and promote for culture fit; reward the desired behaviours.
- Encourage open communication, teamwork and ethics.
- Orientation and continuous training; celebrate success and stories.

Examples of culture

- **Tata group:** trust, integrity, social responsibility.
- **Google:** innovation, freedom, creativity (adhocracy).
- **Infosys:** learning, transparency, client delight.
- **Government departments:** role/hierarchy culture.

Ethical culture

Code of conduct + ethical leadership + whistle-blower protection + fair rewards + training = ethical organisation.

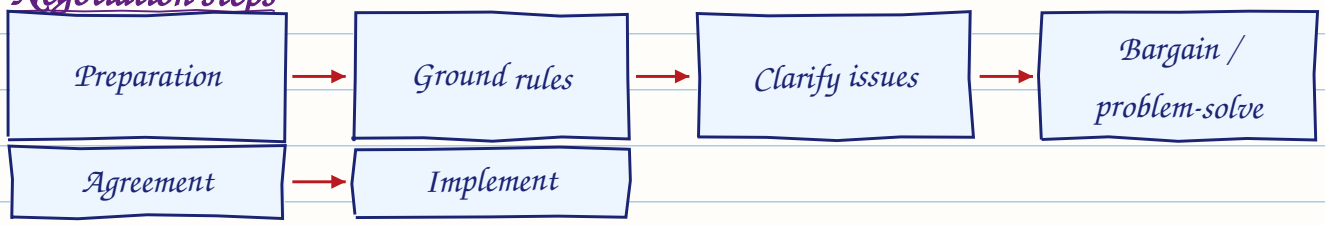
16E. Conflict — Positive and Negative Effects

Basis	Functional conflict	Dysfunctional conflict
Effect	improves decisions, creativity, interest	stress, hostility, wasted energy
Communication	open and honest	blocked, distorted
Focus	on the problem / task	on the person / personal attack
Result	change, innovation, learning	low morale, high turnover, loss of productivity

Conflict resolution outcomes

- **Win–Win** (collaboration), **Win–Lose** (competition), **Lose–Lose** (compromise or avoidance if poorly done).

Negotiation steps



- **Mediation:** neutral third party helps; **Arbitration:** neutral third party decides (binding); **Conciliation:** third party brings both sides together.

17. Evaluating a Leader

How do we judge whether a leader is effective? Evaluation is done through different criteria:

Criteria / Measures of leadership effectiveness

Criterion	Indicators
Goal achievement	targets met, profits, productivity, quality
Follower satisfaction	morale, job satisfaction, low absenteeism, low turnover
Follower development	skills, growth, successors prepared
Group cohesion and team spirit	cooperation, commitment, low conflict
Adaptability and change	success in managing change and innovation
Ethics and reputation	trust, integrity, social responsibility
Customer satisfaction	service quality and loyalty

Methods of evaluation

- **360-degree feedback** (self, boss, peers, subordinates, customers).
- Performance appraisal against objectives (MBO, balanced scorecard).
- Employee opinion surveys and organisational climate surveys.
- Leadership questionnaires: **LBDQ** (Leader Behaviour Description Questionnaire), **MLQ** (Multifactor Leadership Questionnaire), **LPC scale** (Fiedler).
- Observation, interviews, assessment centres, financial and non-financial results.
- Turnover and grievance records.

→ Evaluate a leader on both **results (what is achieved)** and **process (how it is achieved)** .

18. Quick Revision — Unit III

Key points

Culture = shared values (Schein: artifacts, values, assumptions) | Climate = perception of work atmosphere | Leadership = influencing for goals | Traits theory = leaders have special traits | Grid: 9,9 team style is best | Transformational = vision + inspiration | Conflict styles: compete, collaborate, compromise, avoid, accommodate | Evaluate leaders with 360° feedback.

Possible exam questions

1. Define organisational culture. Explain its nature and scope.
2. Distinguish between organisational culture and climate.
3. Explain trait theory of leadership with its limitations.
4. Explain Blake and Mouton's managerial grid.
5. Compare transactional and transformational leadership.
6. Discuss qualities of a good leader.

7. What is conflict? Explain the conflict management styles.
8. How is a leader evaluated?